



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

www.rbi.org.in

RBI/2020-21/90

DOR.No.Ret.BC.35/12.01.001/2020-21

February 5, 2021

All Banks

Dear Sir / Madam

Maintenance of Cash Reserve Ratio (CRR)

Please refer to our [Circular DOR.No.Ret.BC.49/12.01.001/2019-20 dated March 27, 2020](#), on the captioned subject. The cash reserve ratio (CRR) of all banks was reduced by 100 basis points to 3.00 per cent of their Net Demand and Time liabilities (NDTL) effective from the reporting fortnight beginning March 28, 2020. The dispensation was available for a period of one year ending March 26, 2021.

2. As announced in paragraph 2 of the [Statement on Developmental and Regulatory Policies dated February 05, 2021](#), it has been decided to gradually restore the CRR in two phases in a non-disruptive manner. Accordingly, banks are required to maintain the CRR at 3.50 per cent of their NDTL effective from the reporting fortnight beginning March 27, 2021 and 4.00 per cent of their NDTL effective from fortnight beginning May 22, 2021.

3. A copy of the relative notification DOR.No.Ret.BC.38/12.01.001/2020-21 dated February 05, 2021 is [enclosed](#).

Yours faithfully

(Thomas Mathew)
Chief General Manager
Encls: as above



DOR.No.Ret.BC.38/12.01.001/2020-21

February 05, 2021

Notification

In exercise of the powers conferred under the sub-section (1) of Section 42 of the Reserve Bank Act, 1934 and sub-section (1) of Section 18 of the Banking Regulation Act, 1949 (10 of 1949), and in partial modification of the earlier [notification DOR.No.Ret.BC.50/12.01.001/2019-20 dated March 27, 2020](#), the Reserve Bank of India hereby notifies that the average Cash Reserve Ratio (CRR) required to be maintained by every bank shall be 3.50 per cent of its net demand and time liabilities effective from the reporting fortnight beginning March 27, 2021 and 4.00 per cent of net demand and time liabilities effective from fortnight beginning May 23, 2021.

Withdrawn

(J.K.Dash)
Executive Director